

DoView Tool G19 - Relationship Between Discounting and the Ease of Intervening Explainer

G19

DoView Planning.Org



Discounting in cost-benefit analysis is used to take into account the fact that if you wait to intervene you can get interest by investing later. However cost-benefit analyses also need to take into account whether the ease of intervening over time increases. If it does this also needs to be taken into account in the analysis.

Case 1 - Intervention costs stay the same

Acting now - Fixes the problem

Acting later - Fixes the problem, costs the same, but you have earned interest by waiting (financial gain)

Case 2 - Intervention costs rise over time

Acting now - Fixes the problem

Acting later - Costs much more to fix the problem, or it might become unfixable. Any interest gained from waiting may be outweighed by higher cost and risk.

Economic analysis should weigh the benefits of earning interest against the higher cost and risk from delaying